

Marvell Technology, Inc.

MRVL NASDAQ

Buy

\$251.49 ▼ 3.99%

12M Price Target  
\$310.00

52-Week Range  
\$70.69 – \$329.88

Market Cap  
\$226.01B

MRVL: Custom AI Chips Shipping, But Sector Fatigue Hits

WHAT HAPPENED

- MRVL dropped 4% today, but this isn't a Marvell-specific problem — it's what Barron's is literally calling "AI Hardware Fatigue." The whole chip complex got hit: ARM down 9%, Qualcomm down 6%. When your peers are falling harder than you AND there's actual good news on your name (custom AI chip shipments started), that tells me this is sector rotation, not a broken thesis.
- The good news buried under the selloff: Marvell officially started shipping custom AI chips (their ASIC business for hyperscalers like Amazon and Microsoft) and hinted at raising forecasts. That's the whole bull case playing out in real time.

WHY IT MATTERS

Here's what I'm reading between the lines: the market is nervous that AI capex (the massive spending by Meta, Google, Amazon on data centers) might be peaking, so it's taking profits on anything with "AI" in the name. But Marvell is a "picks and shovels" play — they don't need NVIDIA to keep dominating, they just need hyperscalers to keep wanting their own custom chips as a cheaper alternative to NVIDIA. That trend is accelerating, not slowing. The 4% drop with bullish options flow (call buyers still active at \$330 strikes) tells me smart money is treating this as a dip to buy, not an exit signal.

POLICY & POLITICAL WATCH

The big policy tailwind is still the CHIPS Act — the \$52B federal subsidy program for domestic semiconductor manufacturing — plus the Trump administration's continued push on export controls that box out China from advanced chips (which paradoxically helps U.S. designers like Marvell win more Western business). Watch for two things: (1) any expansion of the AI Diffusion Rule that could restrict Marvell's overseas sales — that's a headwind if it tightens, and (2) the FY2027 defense authorization bill, which has expanded funding for custom silicon in military systems, a small but growing Marvell business. Tariff escalation with Taiwan/China remains the wildcard since MRVL relies on TSMC for fabrication.

IS IT EXPENSIVE?

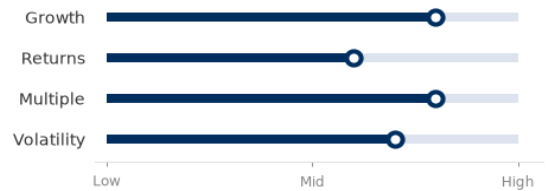
At \$251, MRVL trades around 88x forward earnings — meaning you're paying \$88 today for every \$1 of profit they'll make next year. That's expensive by any traditional measure, but the comp set (Broadcom, NVIDIA, ARM) all trade at similarly nosebleed multiples because investors are pricing in the AI infrastructure buildout continuing for years. The multiple is justified ONLY if revenue growth stays north of 30% — if that slips to 15-20%, the stock re-rates hard and you'd see \$200 quickly.

WHAT COULD GO WRONG

Key Data

|                     |           |
|---------------------|-----------|
| Price (USD)         | \$251.49  |
| 12M Price Target    | \$310.00  |
| Upside / (Downside) | +23.3%    |
| Market Cap          | \$226.01B |
| FY2026E Revenue     | \$8,200M  |
| FY2027E Revenue     | \$10,800M |
| FY2026E EPS         | \$2.85    |
| FY2027E EPS         | \$4.10    |
| Fwd P/E             | 88.2x     |

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|-----------|-----------|-----------|-----------|
| 1 Month   | \$275.00  | \$255.00  | \$225.00  |
| 6 Months  | \$310.00  | \$275.00  | \$210.00  |
| 1 Year    | \$360.00  | \$310.00  | \$200.00  |
| 2 Years   | \$450.00  | \$360.00  | \$180.00  |
| 5 Years   | \$650.00  | \$475.00  | \$200.00  |
| 10 Years  | \$900.00  | \$600.00  | \$175.00  |

WHAT'S MOVING IN THE SECTOR

**HEATING UP:** Healthcare and Consumer Staples — classic "risk-off" defensive rotation. When money runs from tech, it hides here. This is textbook end-of-quarter profit-taking behavior.

**COOLING OFF:** Utilities and Real Estate got smoked (-3% on the week), which is odd in a risk-off environment — probably rate-related as the market re-prices Fed cut expectations lower.

**ROTATION WATCH:** Money is rotating OUT of high-multiple AI/semis and INTO defensives, but the options market says this is temporary positioning, not a regime change. Watch bond yields — if the 10-year keeps climbing, growth stocks like MRVL stay under pressure.

**RELATED PLAY:** If custom AI silicon is real, the memory names selling into these chips benefit too — Micron and SK Hynix are the second-derivative plays. Also worth watching the optical networking names (Coherent, Lumentum) since Marvell's data center switches drive their demand.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): The custom silicon king — their Google TPU business is the template Marvell is trying to replicate. Winning the narrative on hyperscaler ASICs.
- NVDA (Nvidia): Still the GPU standard, but even Nvidia is seeing rotation — the fact that it also sold off tells you today was sector-wide, not thesis-broken.

**MRVL CONTEXT:** Marvell dropped less than ARM (-9%) and Qualcomm (-6%) today at -4%, which is actually a relative win. That's the market saying "we still like Marvell's story more than pure mobile/licensing plays." Lagging Broadcom in the custom silicon narrative is the bigger long-term concern.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

**CONVICTION:** 7/10 — I like the story a lot, but at 88x earnings you need everything to go right, so I can't pound the table.

**POSITION SIZE:** 3-5% of portfolio — meaningful enough to matter, small enough to sleep at night given the volatility.

**ENTRY POINTS:** I'd scale in — buy a third here around \$250, another third if it pulls to \$235, and the last third only on a real washout to \$210. Don't chase.

**TIME HORIZON:** 12-24 months, with the December earnings report as the near-term catalyst that either validates the custom AI chip ramp or breaks the thesis.

**WHEN TO BAIL:** If revenue guidance disappoints by more than 10%, if we hear Amazon is diversifying away from Marvell for Trainium, or if the stock breaks \$210 on high volume — that's a technical breakdown that usually means more pain coming.

**HEDGING:** Simplest hedge: buy put options 10-15% below current price as insurance — costs you a small premium but caps your downside if the AI trade unwinds hard. Or pair the position with a short in a more expensive AI name so you profit from the spread if the whole sector rolls over.